

Private sales and expressions of interest

Diplomatic relations for first home buyers are the name of this game, so let's run through a crash course. Private sales and expressions-of-interest campaigns require negotiating with the vendor, via their agent, to reach an agreed price. You'll mostly do this over the phone, although an agent may be able to offer you documentation to sign, at an 'open for inspection', which formalises the offer in writing.

Going head-to-head with agents and vendors with dollar signs in their eyes can be as intense as that poker-to-death scene in *Casino Royale*. But there are ways to arm yourself for a fair and reasonable fight, and these involve understanding the property's value to make a strong offer. Achieve this in two ways:

- Research by tracking sale prices for sold properties, in that suburb, within the last six months.
- Get a professional valuation – hire an expert to give you a firm idea of the property's price, and therefore clarity on what level of offer you should make.

This is how it generally unfolds, according to Greville Pabst:

You drive past a property one weekend and you fall in love with it. You ring the agent and ask, 'What is the asking price?' And they will give you a price and tell you there is a lot of interest in the property. You're on the other end wondering what to do, and the agent will ask what you are prepared to offer.

You'll make an offer, and then the agent will come back to you and ask if you will increase your offer. Ninety per cent of buyers play this game. And I never get involved in any game unless I know the rules.